

for
AUDITED FINANCIAL STATEMENTS

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COMPANY INFORMATION

danielle@zed.co

Company's Telephone Number	N/A
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09568573777

1st Wednesday of June

12/31

CONTACT PERSON INFORMATION	
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The designated contact person ***MUST*** be an Officer of the Corporation

Danielle Cojuangco Abraham

danielle@zed.co

Telephone Number/s	N/A
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09568573777

CONTACT PERSON'S ADDRESS	
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635 Adelfa St. Ayala Alabang, Muntinlupa City

2 : All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

**STATEMENT OF MANAGEMENT'S RESPONSIBILITY
FOR ANNUAL INCOME TAX RETURN**

The Management of **Zed Philippines, Inc.** is responsible for all information and representations contained in the **Annual Income Tax Return** for the year ended **December 31, 2023**. Management is likewise responsible for all information and representations contained in the financial statements accompanying the **Annual Income Tax Return** covering the same reporting period. Furthermore, the Management is responsible for all information and representations contained in all the other tax returns filed for the reporting period, including, but not limited to, to the value added tax and/or percentage tax returns, withholding tax returns, documentary stamp tax returns, and any and all other tax returns.

In this regard, the Management affirms that the attached audited financial statements for the year ended **December 31, 2023**, and the accompanying **Annual Income Tax Return** are in accordance with the books and records of **Zed Philippines, Inc.** complete and correct in all material respects. Management likewise affirms that:

- (a) the **Annual Income Tax Return** has been prepared in accordance with the provisions of the National Internal Revenue Code, as amended, and pertinent tax regulations and other issuances of the Department of Finance and the Bureau of Internal Revenue;
- (b) any disparity of figures in the submitted reports arising from the preparation of financial statements pursuant to financial accounting standards and the preparation of the income tax return pursuant to tax accounting rules has been reported as reconciling items and maintained in the Company's books and records in accordance with the requirements of Revenue Regulations No. 8-2007 and other relevant issuances;
- (c) **Zed Philippines, Inc.** filed all applicable tax returns, reports and statements required to be filed under Philippine tax laws for the reporting period, and all taxes and other impositions shown thereon to be due and payable have been paid for the reporting period, except those contested in good faith.

DocuSigned by:

Signature: _____
Date Signed: 4/29/2024
Danielle C. Abraham
President

DocuSigned by:

Signature: _____
Date Signed: 4/29/2024
Steven T. Abraham
Chairman

DocuSigned by:

Signature: _____
Date Signed: 4/29/2024
Eduardo S. Cojuangco
Treasurer

INDEPENDENT AUDITOR'S REPORT

The Board of Directors
ZED PHILIPPINES, INC.
5/F Universal Re Bldg., Paseo de Roxas
Cor. Perea St., Legaspi Village, Makati City

Report on the Audit of the Financial Statements

OPINION

I have audited the financial statements of **ZED PHILIPPINES, INC.**, (the Company), which comprise the statement of financial position as at December 31, 2023 and 2022, and the statement of income, statement of changes in equity and statement of cash flows for the years then ended, and notes to the financial statements, including a summary of significant accounting policies.

In my opinion, the accompanying financial statements present fairly, in all material respects, the financial position of **ZED PHILIPPINES, INC.**, as at December 31, 2023 and 2022, and its financial performance and its cash flows for the years then ended in accordance with the Philippine Financial Reporting Standards for Small and Medium-sized Entities (PFRS for SMEs).

Basis for Opinion

I conducted my audits in accordance with the Philippine Standards on Auditing (PSA). My responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of my report. I am Independent of the Company in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to my audit of the financial statements in the Philippines, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the Code of Ethics. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my audit opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

You are responsible for the preparation and fair presentation of the financial statements in accordance with the generally accepted accounting principles in the Philippines, and for such internal control as you determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, you are responsible for assessing your ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Corporation's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSA, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assesses the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of the accounting policies used and the reasonableness of the accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

Report on Other Legal and Regulatory Requirements

My audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The supplementary information on taxes and licenses in the financial statements is presented for the purpose of filing with the Bureau of Internal Revenue and is not a required part of the basic financial statements. Such supplementary information is the responsibility of management and has been subjected to the auditing procedures applied in my audits of the basic financial statements. In my opinion, the supplementary information is fairly stated in all material respects in relation to the basic financial statements taken as a whole.



RONESA D. BUQUIRON

CPA License No. 75508

PRC ID expiry date: January 12, 2026

BOA Accreditation No 2477 valid until January 31, 2026

BIR Accreditation No. 08-005442-001-2023 valid until October 8, 2026

Tax Identification No 105-815-034

PTR No. 2645329 issued February 26, 2024, City of Bacoar, Cavite

April 12, 2024

RONESA D. BUQUIRON

Certified Public Accountant

SUPPLEMENTAL STATEMENT OF INDEPENDENT AUDITOR

The Board of Directors
ZED PHILIPPINES, INC.
5/F Universal Re Bldg., Paseo de Roxas
Cor. Perea St., Legaspi Village, Makati City

I have audited the financial statements of **ZED PHILIPPINES, INC.** for the year ended December 31, 2023, on which I have rendered the attached report dated April 12, 2024.

In compliance with SRC Rule 68, I am stating that the Company has one (1) shareholder owning 100 or more shares as of December 31, 2023.



RONESA D. BUQUIRON

CPA License No. 75508
PRC ID expiry date: January 12, 2026
BOA Accreditation No 2477 valid until January 31, 2026
BIR Accreditation No. 08-005442-001-2023 valid until October 8, 2026
Tax Identification No 105-815-034
PTR No. 2645329 issued February 26, 2024, City of Bacoor, Cavite

April 12, 2024

ZED PHILIPPINES, INC.

(A wholly-owned subsidiary of Zed Financial, Inc.)

STATEMENTS OF FINANCIAL POSITION

	December 31	
	2023	2022
ASSETS		
Current Assets		
Cash in bank (Note 4)	₱102,499,007	₱108,995,445
Receivables (Note 5)	288,546	–
Due from related party (Note 6)	26,400	26,400
Prepayment and other current assets (Note 7)	1,826,218	1,029,550
Total Current Assets	104,640,171	110,051,395
Noncurrent Assets		
Office equipment (Note 8)	67,976	70,402
Total Noncurrent Assets	67,976	70,402
TOTAL ASSETS	₱104,708,147	₱110,121,797
LIABILITIES AND EQUITY		
Current Liabilities		
Accrued expenses and other payables (Note 9)	₱4,013,087	₱358,731
Taxes payable	22,051	11,454
Deposit for future subscription (Note 12)	90,355,999	90,355,999
Total Current Liabilities	94,391,137	90,726,184
Noncurrent Liabilities		
Deferred tax liability (Note 11)	11,827	2,326,732
Total Noncurrent Liabilities	11,827	2,326,732
Total Liabilities	₱94,402,964	₱93,052,916
Equity		
Capital stock	₱10,000,000	₱10,000,000
Retained earnings	305,183	7,068,881
Total Equity	10,305,183	17,068,881
TOTAL LIABILITIES AND EQUITY	₱104,708,147	₱110,121,797

See accompanying Notes to Financial Statements

ZED PHILIPPINES, INC.

(A wholly-owned subsidiary of Zed Financial, Inc.)

STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31	
	2023	2022
INCOME		
Interchange fee income	₱4,544	₱—
Cost of services (Note 10)	(7,977)	—
	(3,433)	—
OTHER INCOME		
Interest income (Note 4)	278,991	₱46,543
Foreign exchange gain (Note 14)	—	10,582,544
GROSS INCOME	275,558	10,629,087
OPERATING EXPENSES		
Operating expenses (Note 10)	4,648,905	1,045,296
Taxes and licenses	208,439	1,000
Professional fees	3,490,677	175,053
Depreciation expense (Note 8)	16,091	4,361
Unrealized foreign exchange loss (Note 4)	962,348	—
Realized foreign exchange loss (Note 4)	4,185	—
Other expenses (Note 10)	23,518	61,905
INCOME(LOSS) BEFORE INCOME TAX	(9,078,604)	9,352,472
PROVISION FOR INCOME TAX (BENEFIT) (Note 11)		
Current	—	—
Deferred	2,314,906	(2,326,732)
	2,314,906	(2,326,732)
TOTAL COMPREHENSIVE INCOME (LOSS)*	(₱6,763,938)	₱7,025,740

*There were no other comprehensive income (loss) items in 2023 and 2022.

See accompanying Notes to Financial Statements.

ZED PHILIPPINES, INC.

(A wholly-owned subsidiary of Zed Financial, Inc.)

STATEMENTS OF CHANGES IN EQUITY

	2023	2022
CAPITAL STOCK (Note 12)	₱10,000,000	₱10,000,000
RETAINED EARNINGS		
Balance at beginning of year	₱7,068,881	₱43,141
Total comprehensive income (loss) for the period	(6,763,938)	7,025,740
Balance at end of year	305,183	7,068,881
TOTAL EQUITY	₱10,305,183	₱17,068,881

See accompanying Notes to Financial Statements

ZED PHILIPPINES, INC.

(A wholly-owned subsidiary of Zed Financial, Inc.)

STATEMENTS OF CASH FLOWS

	2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES		
Income (loss) before income tax	(₱9,078,604)	₱9,352,472
Adjustments for:		
Depreciation expense (Note 8)	16,091	4,361
Interest income	(278,991)	(46,543)
Changes in current assets and liabilities:		
Increase in the amounts of:		
Prepayments and other current assets	(796,668)	(1,029,550)
Trade and other receivables	(288,546)	–
Due from related party	–	(26,400)
Increase in the amounts of:		
Trade and accrued payables (Note 9)	2,955,380	180,821
Due to parent and officers (Note 9)	848,245	176,857
Net cash generated from (used in) operations	(6,750,311)	8,484,651
Income tax paid	(11,454)	
Interest received	278,991	46,543
Net cash provided by (used in) operating activities	(6,482,774)	8,531,194
CASH FLOWS FROM INVESTING ACTIVITY		
Acquisition of office equipment	(13,665)	(74,763)
Net cash used in investing activity	(13,665)	(74,763)
NET INCREASE IN CASH IN BANK	(6,496,439)	8,456,431
CASH IN BANK AT BEGINNING OF YEAR (Note 4)	108,995,446	100,539,014
CASH IN BANK AT END OF YEAR (Note 4)	₱102,499,007	₱108,995,445

See accompanying Notes to Financial Statements.

ZED PHILIPPINES, INC.

NOTES TO FINANCIAL STATEMENTS

1. General Information

Zed Philippines, Inc. (the Company) was incorporated under the laws of the Republic of the Philippines on May 12, 2021 under SEC Registration No. 2021050013643-91 as a corporation primarily to establish, operate, maintain and carry on the business software development, sale and support for any form of technological platforms and handling and/or managing data, data processing, data storage, data analytics and, otherwise dealing in software, web design, and mobile applications excluding internet services and without engaging in the telecommunication business, mass media, and advertising subject to the provision of the Data Privacy Act; to engage the business in providing information technology products and services, such as but not limited to the research development, production, management, marketing and operations of software and hardware technology and other information technology applications; and to do any and all activities directly or indirectly connected therewith or incident thereto in pursuance to aforementioned.

The Company is completing a licensing process with the BSP to become a non-bank credit card issuer and under a pilot program in this licensing process. Issuing of credit cards began on September 22, 2023.

The Company is a wholly-owned subsidiary of Zed Financial, Inc. (the Parent Company), a software development company headquartered in San Francisco, California, specializing in building software platforms for personal finance.

The registered principal office address of the Company is at 5th Floor, Universal RE Building, 160 Paseo de Roxas corner Perea Street, Makati City, Metro Manila, Philippines

The financial statements were authorized for issue by the Board of Directors (BOD) on _____.

2. Accounting Policies

Basis of Preparation

The accompanying financial statements have been prepared on a historical cost basis and are presented in Philippine peso (PHP or ₱), the Company's functional currency. All values are rounded to the nearest peso except when otherwise indicated.

Statement of Compliance

The financial statements of the Company have been prepared in accordance with Philippine Financial Reporting Standards (PFRSs).

The Company is a qualified SME. For qualified SMEs, full conversion to PFRS for SMEs is mandatory for all financial statements for annual periods beginning on or after January 1, 2010. However, the SEC issued exemptions from the mandatory adoption of the PFRS for SMEs for entities that meet certain criteria. The Company availed of the exemption issued by the SEC and accordingly it continues to adopt full PFRSs.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2022. The Company has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, adoption of these new standards did not have an impact on the consolidated financial statements of the Company.

- *Amendments to PFRS 3, Reference to the Conceptual Framework*
The amendments add an exception to the recognition principle of PFRS 3 to avoid the issue of potential ‘day 2’ gains or losses arising for liabilities and contingent liabilities that would be within the scope of PAS 37 Provisions, Contingent Liabilities and Contingent Assets or IFRIC 21 Levies, if incurred separately. The exception requires entities to apply the criteria in PAS 37 or IFRIC 21, respectively, instead of the Conceptual Framework, to determine whether a present obligation exists at the acquisition date.

At the same time, the amendments add a new paragraph to PFRS 3 to clarify that contingent assets do not qualify for recognition at the acquisition date.

- *Amendments to PAS 16, Property, Plant and Equipment: Proceeds before Intended Use*
The amendment prohibits entities from deducting from the cost of an item of property, plant and equipment (PP&E), any proceeds of the sale of items produced while bringing that asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Instead, an entity recognizes the proceeds from selling such items, and the costs of producing those items, in profit or loss.

The amendment must be applied retrospectively only to items of PP&E made available for use on or after the beginning of the earliest period presented when the entity first applies the amendment.

There is no transition relief for first-time adopters.

- *Amendments to PAS 37, Onerous Contracts – Costs of Fulfilling a Contract*
The amendments apply a ‘directly related cost approach’. The costs that relate directly to a contract to provide goods or services include both incremental costs (e.g., the costs of direct labor and materials) and an allocation of costs directly related to contract activities (e.g., depreciation of equipment used to fulfil the contract as well as costs of contract management and supervision). General and administrative costs do not relate directly to a contract and are excluded unless they are explicitly chargeable to the counterparty under the contract.

The amendments must be applied prospectively to contracts for which an entity has not yet fulfilled all of its obligations at the beginning of the annual reporting period in which it first applies the amendments (the date of initial application). Earlier application is permitted and must be disclosed.

- *Annual Improvements to PFRSs 2018-2020 Cycle*
The following is a summary of the amendments from the 2018-2020 annual improvements cycle:
 - *Amendments to PFRS 1, First-time Adoption of Philippines Financial Reporting Standards, Subsidiary as a first-time adopter*
 - The amendment permits a subsidiary that elects to apply paragraph D16(a) of IFRS 1 to measure cumulative translation differences using the amounts reported in the parent’s consolidated financial statements, based on the parent’s date of transition to IFRS, if no adjustments were made for consolidation procedures and for the effects of the business combination in which the parent acquired the subsidiary. This amendment is also applied to an associate or joint venture that elects to apply paragraph D16(a) of IFRS 1.

- An entity applies the amendment for annual reporting periods beginning on or after January 1, 2022. Earlier application is permitted.
- Amendments to PFRS 9, *Financial Instruments, Fees in the '10 per cent' test for derecognition of financial liabilities*
 - The amendment clarifies the fees that an entity includes when assessing whether the terms of a new or modified financial liability are substantially different from the terms of the original financial liability. These fees include only those paid or received between the borrower and the lender, including fees paid or received by either the borrower or lender on the other's behalf. There is no similar amendment proposed for IAS 39.
- An entity applies the amendment to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applies the amendment.
- An entity applies the amendment for annual reporting periods beginning on or after January 1, 2022. Earlier application is permitted.
- Amendments to PAS 41, *Agriculture, Taxation in fair value measurements*
 - The amendment removes the requirement in paragraph 22 of PAS 41 that entities exclude cash flows for taxation when measuring the fair value of assets within the scope of PAS 41.

Material Accounting Policies

Current versus Noncurrent Classification

The Company presents assets and liabilities in the statement of financial position based on current/noncurrent classification. An asset is current when:

- It is expected to be realized or intended to be sold or consumed in the normal operating cycle.
- It is held primarily for the purpose of trading.
- It is expected to be realized within twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in normal operating cycle.
- It is held primarily for the purpose of trading.
- It is due to be settled within twelve months after the reporting period or there is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.

The Company classified all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Foreign Currency Transactions

The financial statements are presented in PHP, which is the Company's functional currency. Foreign currency-denominated assets and liabilities are translated in PHP based on the Bankers Association of the Philippines (BAP) closing rate prevailing at the reporting date, and foreign currency-denominated income and expenses, at the prevailing exchange rate as of date of transaction. Foreign exchange differences arising from foreign currency transactions and revaluation of foreign currency-denominated assets and liabilities are credited to or charged against current operations.

Fair Value Measurement

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- in the principal market for the asset or liability, or
- in the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

For assets and liabilities that are recognized in the financial statements on a recurring basis, the Company determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained in Note 4.

Financial Instruments

Date of recognition

The Company recognizes a financial asset or a financial liability when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within the time frame established by regulation or convention in the marketplace are recognized on the trade date, which is the date when the Company commits to purchase or sell the assets. Securities transactions and the related commission income and expense are recorded on trade date.

'Day 1' difference

Where the transaction price in a non-active market is different from the fair value from other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from an observable market, the Company recognizes the difference between the transaction price and fair value (a 'Day 1' difference) in the statement of comprehensive income unless it qualifies for recognition as some other type of asset. In cases where non-market observable data is used, the difference between the transaction price and model value is only recognized in the statement of comprehensive income when the inputs become observable or when the instrument is derecognized. For each transaction, the Company determines the appropriate method of recognizing of the 'Day 1' difference amount.

Initial recognition of financial instruments

Financial assets

At initial recognition, financial assets are classified as, and subsequently measured at amortized cost, at fair value through other comprehensive income (FVOCI) and at fair value through profit or loss (FVTPL).

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. The Company initially measures a financial asset at its fair value plus, in the case of a financial asset not at FVTPL, transaction costs.

In order for a financial asset to be classified and measured at amortized cost or FVOCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortized cost (debt instruments)
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at FVTPL

Financial assets

Financial assets at amortized cost

The Company measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognized in the statement of comprehensive income when the asset is derecognized, modified or impaired.

This accounting policy applies to the Company's 'Cash in banks' and 'Receivables', 'due from related party' and 'rental deposit' in the statements of financial position.

As of December 31, 2023 and 2022, the Company does not have financial assets at FVOCI and at FVTPL

Derecognition of Financial Assets and Liabilities

Financial asset

A financial asset (or where applicable a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the rights to receive cash flows from the asset have expired;
- the Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay them in full without material delay to a third party under a pass-through arrangement and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred the control over the asset.

Financial liability

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired.

Offsetting Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the statements of financial position, if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. The Company assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Company and all of the counterparties.

As at December 31, 2023 and 2022, the Company has not offset any financial assets and liabilities.

Impairment of Financial Assets

Expected credit loss

PFRS 9 requires the Fund to record expected credit losses (ECL) for all loans and other debt financial assets not classified as at FVTPL, together with loan commitments and financial guarantee contracts. ECL represent credit losses that reflect an unbiased and probability-weighted amount which is determined by evaluating a range of possible outcomes, the time value of money and reasonable and supportable information about past events, current conditions and forecasts of future economic conditions. ECL allowances will be measured at amounts equal to either (i) 12-month ECL or (ii) lifetime ECL for those financial instruments which have experienced a significant increase in credit risk since initial recognition. The 12-month ECL is the portion of lifetime ECL that results from default events on a financial instrument that are possible within the 12 months after the reporting date. Lifetime ECL are credit losses that results from all possible default events over the expected life of the financial asset.

Staging assessment

For non-credit-impaired financial instruments:

- Stage 1 is comprised of all non-impaired debt financial assets which have not experienced a SICR since initial recognition.

- Stage 2 is comprised of all non-impaired debt financial assets which have experienced a SICR since initial recognition.

For credit-impaired financial instruments:

- Financial instruments are classified as Stage 3 when there is objective evidence of impairment.

Forward looking information

A range of economic overlays are considered, and expert credit judgment is applied in determining the forward-looking inputs to the ECL calculation.

Property and Equipment

Property and equipment which includes office equipment is stated at cost less accumulated depreciation and allowance for impairment losses, if any.

The initial cost of property and equipment consists of its purchase price and any directly attributable costs of bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance are normally charged against current operations in the year in which the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property and equipment.

The Company only capitalizes the purchase price of equipment if it is above ₱5,000. Any amount below ₱5,000 is considered an expense outright in profit or loss. Depreciation is computed using straight-line method over the useful life of 5 years.

The useful life and depreciation and amortization method are reviewed periodically to ensure that the period and the method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the statement of comprehensive income in the year the asset is derecognized.

Impairment of Nonfinancial Assets

Property and equipment

At each reporting date, the Company assesses whether there is any indication that its nonfinancial assets may be impaired. When an indicator of impairment exists, or when an annual impairment testing for an asset is required, the Company makes a formal estimate of recoverable amount. Recoverable amount is the higher of an asset's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets, in which case the recoverable amount is assessed as part of the cash-generating unit (CGU) to which it belongs. When the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is charged to operations in the year in which it arises, unless the asset is carried at a revalued amount, in which case the impairment loss is charged to the revaluation increment of the said asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the statement of comprehensive income unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

After such a reversal, the depreciation expense is adjusted in future years to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining life.

Revenue Recognition

Timing of revenue recognition may change depending on when the performance obligation is satisfied, either at a point in time or over time. The Company recognizes revenue from services at a point in time when the services are transferred to the customers and fulfills the performance obligations. In order to determine whether the control over the services is transferred over time, the Company determines whether the customer simultaneously obtains and consumes the benefits provided by the Company's performance and whether the Company has the right to make executable claims for the portion that has been completed so far.

The Company allocates the transaction prices based on the stand-alone selling prices to the various performance obligations identified in a single contract.

The Company estimates the amounts of consideration depending on which method the entity expects to better predict the amount of consideration to which it will be entitled - the expected value or the most likely amount. Variable consideration is included in the transaction price only to the extent that it is highly probable that a significant reversal in the cumulative amount of revenue recognized will not occur in the future periods.

If the period between the transfer of the services promised to the customer and the payment of the customer is within one year, a practical simple method that does not adjust the promised price for a significant financing component is used.

The following specific recognition criteria must also be met before revenue is recognized:

Interest income

Interest income consists of interest earned on deposit accounts with banks and on short-term investments.

Foreign exchange gain

Foreign exchange gain pertains to the translation of US Dollar-denominated cash accounts to Philippine peso.

Expenses

Expenses encompass losses as well as those expenses that arise in the course of the ordinary activities of the Company. Expenses are recognized when incurred.

Leases

Company as a lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low value assets. The Company recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Company recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

Unless the Company is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term.

Right-of-use assets are subject to impairment. Refer to the accounting policies in section impairment of non-financial assets.

Short-term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to its short-term leases of parking lots (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option) and low-value assets recognition exemption on leases whose underlying asset is of low value.

Accounts and Other Payables

Accounts and accrued expenses payables are liabilities to pay for good or services that have been received or supplied and have been invoiced formally agreed with the supplier. Trade payables are recognized initially at the transaction price and subsequently measured at amortized cost using effective interest method.

Equity

Capital stock is measured at par value for all shares issued and outstanding. When the Company issues more than one class of stock, a separate account is maintained for each class of stock and the number of shares issued.

The transaction costs incurred from the Company's stock issuance are accounted for as a deduction from equity to the extent they are incremental costs directly attributable to the equity transaction that otherwise would have been avoided.

Retained Earnings

Retained earnings represent accumulated profits of the Company.

Deposits for future subscriptions

Deposits for future subscriptions (DFFS) represent funds received by the Company with a view to applying the same as payment for a future additional issuance of shares either from its authorized but unissued shares, from a proposed increase in authorized share capital, or as share premium. Upon application with the SEC, the amount will be credited to Capital stock for the par value of the shares and Additional paid in capital for the amount in excess of the par value.

Based on SEC Bulletin No. 6, issued in January 2013, the Company shall classify DFFS as equity if and only if, all of the following are present at the end of the reporting period:

- (a) The unissued authorized share capital is insufficient to cover the amount of shares indicated in the contract;
- (b) There is BOD's approval on the proposed increase in authorized share capital (for which a deposit was received);
- (c) There is stockholders' approval of said proposed increase; and
- (d) The application for the approval of the proposed increase has been filed with the SEC.

If the criteria above are not met, the deposits for future subscriptions will be presented as liabilities in the statement of financial position. As of December 31, 2023 and 2022, the Company's DFFS is presented as liability in the statement of financial position. (Note 10)

Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

Contingent Liabilities and Contingent Assets

Contingent liabilities are not recognized in the financial statements but are disclosed unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized but are disclosed in the financial statements when an inflow of economic benefits is probable.

Income Taxes

Current income tax

Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted as of the reporting date.

Deferred tax

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT), and unused net operating loss carryover (NOLCO), to the extent that it is probable that sufficient taxable profit will be available against which the deductible temporary differences and carryforward of unused MCIT and unused NOLCO can be utilized.

Deferred tax, however, is not recognized when it arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable income will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates applicable to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to offset current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Value-added tax (VAT)

Expenses and assets are recognized net of the amount of VAT, except:

- when the VAT incurred on a purchase of assets or services is not recoverable from the taxation authority, in which case, the VAT is recognized as part of the cost of acquisition of the assets or as part of the expense item, as applicable; or
- when receivables and payables are stated with the amount of VAT included.

The net amount of VAT recoverable from, or payable to, the taxation authority is included as part of receivables or payables in the statement of financial position.

Subsequent Events After Reporting Date

Any post year-end events that provide additional information about the Company's position at the reporting date (adjusting events), are reflected in the Company's financial statements. Post year-end events that are not adjusting events are disclosed in the notes to the financial statements when material.

Standards Issued but not yet Effective

Pronouncement issued but not yet effective are listed below. The Fund intends to adopt the following pronouncements when they become effective. Adoption of these pronouncements is not expected to have a significant impact on the Company's financial statements.

Effective beginning on or after January 1, 2024

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*
- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. Significant Accounting Judgments and Estimates

The preparation of the Company's financial statements in accordance with PFRSs requires management to make judgments and estimates that affect the reported amounts of assets, liabilities, income and expenses. Future events may occur which can cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the financial statements as they become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Estimate

Recognition of deferred tax assets

Deferred tax assets are recognized for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilized. Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

The Company recognized deferred tax assets on certain deductible temporary differences amounting to ₱2,314,906 (Note 11) and nil for the period ending December 31, 2023 and 2022, respectively.

Estimation of useful lives

The useful life of capitalized equipment is based on the period over which the assets are expected to be available for use. The EUL is reviewed only if there are indicators that they have changed and are updated if expectations differ from previous statements due to technical or commercial obsolescence or change in the use of the asset.

4. Cash in bank

This account consists of:

	2023	2022
Cash in Bank-USD	₱95,297,343	₱108,860,103
Cash in Bank-PHP	1,417,714	135,342
Restricted Cash	5,783,950	—
	₱102,499,007	₱108,995,445

Cash in banks earn at an annual interest rate of 0.01% in 2023 and 2022. Interest income earned from cash in bank excluding restricted cash to ₱0.05 million and ₱0.05 million in 2023 and 2022, respectively. The total foreign exchange revaluation of Cash in Bank amounted to a loss of ₱2.00 million in 2023 and ₱1.32 million in 2022.

Restricted cash is an interest-bearing account which serves as a collateral to its credit card service provider. Interest income earned from restricted cash amounted to ₱0.23 million in 2023.

As of December 31, 2023 and 2022, the US Dollar account has a balance amounting to \$1.71 million (₱95.29 million using the prevailing foreign exchange rate of ₱55.57) and \$1.94 million (₱108.8 million using the prevailing foreign exchange rate of ₱56.12), respectively.

Due to the changes in foreign currency exchange rates throughout the year, the Company has recognized realized and unrealized foreign exchange gains and losses.

Unrealized foreign exchange gains (losses) from cash in bank as follows:

	2023	2022
Unrealized foreign exchange gain	₱9,564,855	₱16,077,328
Unrealized foreign exchange loss	(10,527,203)	(5,494,784)
Unrealized foreign exchange gain (loss) - net	(₱962,348)	₱10,582,544

Realized foreign exchange gains (losses) from cash in bank as follows:

	2023	2022
Realized foreign exchange gain	₱16,356	₱-
Realized foreign exchange loss	(20,542)	-
Realized foreign exchange gain (loss) - net	(₱4,185)	₱-

5. Receivables

This account pertains to the Company's receivables:

	2023	2022
Receivables – credit card operations	₱287,546	₱-
Receivables – others	1,000	-
	₱288,546	₱-

In November 2023, the Company has started its credit card operations resulting in a receivable balance of ₱287,546 as at December 31, 2023.

As of December 31, 2023, the allowance for credit losses of these receivables are not significant.

6. Due from related party

This account pertains to the advances made by the Company for the account of the Parent Company amounting to ₱26,400. As of December 31, 2023 and 2022, there has been no significant increase in credit risk on the amount due from the Parent Company and the related allowance for credit losses is deemed to be not material.

7. Prepayment and other current assets

This account consists of:

	2023	2022
Card Inventory	₱1,280,302	-
Input tax	352,997	₱135,425
Rental deposit	171,000	362,110
Office Supplies	21,600	-
Prepaid Insurance	319	-
Prepaid rent	-	54,625
Advances to supplier	-	477,390
	₱1,826,218	₱1,029,550

Advances to supplier

Advances to supplier pertains to advances for the purchase of credit card materials from a supplier.

Rental deposit

In 2023, the Company entered into a month-to-month office space agreement with Servcorp Bonifacio, Inc., which required the Company to provide a refundable rental deposit amounting to ₱171,000.

8. Office equipment

	2023	2022
Cost		
Balance at beginning of year	₱74,763	–
Additions	13,665	₱74,763
Balance at end of year	₱88,428	74,763
Accumulated Depreciation		
Balance at beginning of year	4,361	–
Depreciation	16,091	4,361
Balance at end of year	20,452	4,361
Net Book Value at December 31	₱67,976	₱70,402

9. Accrued expenses and other payables

This account consists of:

	2023	2022
Accrued expenses	₱2,954,422	₱154,000
Trade payables	210,420	26,821
Due to related party	848,245	128,420
Due to officers	-	48,437
Other payables	-	1,053
	₱4,013,087	₱358,731

Trade payables consist of obligations to local suppliers of goods and services on the basis of normal credit terms and do not bear interest.

Due to related party consists of expenditures related to business registration to SEC and BIR, other taxes and licenses, and professional services payment shouldered by the Parent company.

10. Expenses

Cost of services account consists of transaction-related fees amounting to ₱7,977 in 2023 and nil in 2022.

The operating expense account consists of:

	2023	2022
Platform-related fees	₱3,895,804	₱–
Rent expense	629,876	1,011,760
Mastercard penalty	13,922	–
Office supplies expense	7,788	20,740
Meeting and representation	72,527	2,796
Transportation expense	14,940	–
Bank service charge	14,048	–
	₱4,648,905	₱1,045,296

Platform-related fees consists of charges for the use of Mastercard's payment network.

The other expense account consists of:

	2023	2022
Miscellaneous expense	22,987	60,905
Insurance expense	531	—
	₱23,518	₱61,905

11. Income tax

Provision for income tax consists of :

	2023	2022
Current	—	—
Deferred	₱2,314,906	(₱2,326,732)
Total	₱2,314,906	(₱2,326,732)

Corporate Recovery and Tax Incentives for Enterprises or “CREATE” Act

President Rodrigo Duterte signed into law on March 26, 2021 the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act to attract more investments and maintain fiscal prudence and stability in the Philippines. Republic Act (RA) 11534 or the CREATE Act introduces reforms to the corporate income tax and incentives systems. It took effect 15 days after its complete publication in the Official Gazette or in a newspaper of general circulation on April 11, 2021.

The following are the key changes to the Philippine tax law pursuant to the CREATE Act which have an impact on the Company:

- Effective July 1, 2020, regular corporate income tax (RCIT) rate is reduced from 30.00% to 25.00% for domestic and resident foreign corporations. For domestic corporations with net taxable income not exceeding ₱5.00 million and with total assets not exceeding ₱100.00 million (excluding land on which the business entity’s office, plant and equipment are situated) during the taxable year, the RCIT rate is reduced to 20%.
- Minimum corporate income tax (MCIT) rate reduced from 2.00% to 1.00% of gross income effective July 1, 2020 to June 30, 2023.
- Imposition of improperly accumulated earnings tax (IAET) is repealed.

Tax regulations also provide for the ceiling on the amount of entertainment, amusement and recreation expenses (EAR) that can be claimed as deduction against taxable income. Under the regulation, EAR expenses allowed as deductible expense for a service Fund is limited to the actual EAR incurred or paid but not to exceed 1.00% of net revenue.

On September 30, 2020, the BIR issued Revenue Regulations No. 25-2020 implementing Section 4(bbbb) of “Bayanihan to Recover as One Act” which states that the NOLCO incurred for taxable years 2020 and 2021 can be carried over and claimed as a deduction from gross income for the next 5 consecutive taxable years immediately following the year of such loss.

	2023	2022
Loss before income tax	(P9,079,644)	(P1,230,072)
Less: Non-taxable income		
Interest Income	(50,637)	(46,543)
Add: Non-deductible expenses		
Taxes and Licenses fee	129,341	1,000
Taxable income	(P8,297,274)	(P1,275,615)
Provision for income tax (25%)	—	—

The Company has incurred NOLCO of P9.26 million and P1.27 million for taxable year 2023 and 2022 respectively, which can be claimed as deduction from the regular taxable income for the next three (3) consecutive years, as follows:

Year Incurred	Beginning	Additions	Expired	Balance	Expiry Year
2023	1,275,615	8,297,274	—	8,297,274	2026
2022	—	1,275,615	—	1,275,615	2025

The Company did not recognize a deferred tax asset in 2023 despite having a net operating loss position as deferred tax assets and deferred tax liabilities are generally presented in a net position.

Net deferred tax liability as of December 31, 2023 and 2022 are as follows:

	2023	2022
Deferred tax asset		
Unrealized foreign exchange loss	P2,631,801	P-
Net operating loss carryover	2,393,206	318,927
	5,025,007	318,903
Deferred tax liability		
Unrealized foreign exchange gain	5,036,834	P2,645,650
Deferred tax assets (liability) – net	(P11,827)	(P2,326,723)

As of December 31, 2023, the Company have recognized a deferred tax liability of P11,827 and P2,326,723 in 2022.

12. Capital

Common Stock

This account consists of:

	Shares		Amount	
	2023	2022	2023	2022
Common - P1 par value				
Authorized	10,000,000	10,000,000	10,000,000	10,000,000
Issued and outstanding	10,000,000	10,000,000	10,000,000	10,000,000

Deposit for future stocks subscription

On September 21, 2021, the Company obtained the approvals of its BOD and stockholders to increase its capital from 10,000,000 shares with P1.00 par value to 370,000,000 shares with P1.00 par value.

On September 22, 2021, the Company entered into a subscription agreement with its Parent

Company for the additional shares subscription of 90,000,000 shares with ₱1.00 par value. On October 18, 2021, the Company received ₱90,355,999 in cash as DFFS.

As of December 31, 2021, the Company has authorized and issued 10,000,000 shares. This is insufficient to cover the number of shares indicated in the subscription agreement.

The application for the approval of the proposed increase in authorized capital stock has not been filed with SEC as of December 31, 2023. With this, the Company did not meet the criteria indicated under SEC Bulletin No. 6, issued in January 2013. Thus, as of December 31, 2023 and 2022, the Company's DFFS is presented as liability in the statement of financial position.

13. Related party transactions

Parties are related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions; and the parties are subject to common control or common significant influence. Related parties may be individuals or corporate entities.

The following table presents the balances of transactions with related parties as at and for the years ended December 31, 2023 and 2022:

2023

	Amount	Outstanding Balance	Terms	Conditions
<u>Receivables</u>				
Parent Company				
Due from Parent Company	₱-	₱26,400	Due and demandable; Non-interest bearing	Unsecured, no impairment
	₱-	₱26,400		
<u>Payables</u>				
Parent Company				
Due to Parent Company	₱-	₱848,242	Due and demandable; Non-interest bearing	Unsecured
Due to officers	(48,434)	3	Due and demandable; Non-interest bearing	Unsecured
	(₱48,434)	₱848,245		

2022

	Amount	Outstanding Balance	Terms	Conditions
<u>Receivables</u>				
Parent Company				
Due from Parent Company	₱26,400	₱26,400	Due and demandable; Non-interest bearing	Unsecured, no impairment
	₱26,400	₱26,400		
<u>Payables</u>				
Parent Company				
Due to Parent Company	–	128,420	Due and demandable; Non-interest bearing	Unsecured
Due to officers	48,437	48,437	Due and demandable; Non-interest bearing	Unsecured
	₱48,437	₱176,857		

14. Financial Risk Management Objectives and Policies

The Company is exposed to financial risks through its financial instruments. The principal financial assets of the Company are cash and cash equivalents and receivables.

Credit risk

The carrying amounts of the Company's financial assets in the statement of financial position represent the Company's maximum exposure to credit risks.

As of December 31, 2023 and 2022, the amount of cash in bank, receivables, and rental deposits due from Parent Company, does not show any significant increase in credit risk and the related allowance for credit losses is deemed to be not material.

Currency risk

Foreign exchange risk is the risk of loss from fluctuations in foreign exchange rates. It arises from the change in value, measured in the currency of the Company, of foreign currency denominated assets.

The table below summarizes the currency risk from the Company's cash in bank as of December 31, 2023 and 2022:

	2023		2022	
	In original currency	Philippine peso equivalent	In original currency	Philippine peso equivalent
Cash in bank	US\$1,714,998.89	₱95,302,488.32	US\$1,939,774	₱108,860,117
	US\$1,714,998.89	₱95,302,488.32	US\$1,939,774	₱108,860,117

In translating foreign currency-denominated financial assets into Philippine peso amounts, the exchange rate used is ₱55.57 for 2023 and ₱56.12 for 2022.

The following table shows the sensitivity to a reasonably possible change in US\$ exchange rate, with all other variables held constant, on income before tax as of December 31, 2023 and 2022:

Peso Depreciation (Appreciation) vis-à-vis U.S. dollar	Impact on Net Income	
	2023	2022
+₱1	₱1,714,998.89	₱1,939,774
-₱1	(₱1,714,998.89)	(₱1,939,774)

Liquidity Risk

Liquidity risk is the risk from inability to meet obligations when they become due, because of an inability to liquidate assets or obtain adequate funding. The Company is fully supported by the Parent Company in respect of its funding requirements. The Company ensures that sufficient liquid assets are available to meet short-term funding and regulatory requirements. As of December 31, 2023 and 2022, the Company's financial assets and financial liabilities are short-term in nature.

15. Supplemental information required under Revenue Regulations 15-2010

On November 25, 2010, the BIR issued RR 15-2010 to amend certain provisions of RR 21-2002 which provides that starting 2010, the notes to financial statements shall include information on taxes duties and license fees paid or accrued during the taxable year.

The Company reported and/or paid the following types of taxes for the year 2022:

Value Added Tax (VAT)

The NIRC of 1997 provides for the imposition of VAT on sales of goods and services. R.A. No. 9337 increased the VAT rate from 10.00% to 12.00%, effective February 1, 2006.

The Company has recorded ₱352,997 and ₱135,425 input VAT for the year ended December 31, 2023 and 2022. It has no output VAT recorded since there are no vatable transactions entered into for the year ended December 31, 2023 and 2022.

Taxes and Licenses

The Company has paid ₱208,439 and ₱1,000 for the year ended December 31, 2023 and 2022, respectively.

Withholding Taxes

As of December 31, 2023, the Company withheld a total amount of ₱2,106 pertaining to professional fees.

Tax Assessments and Cases

As of December 31, 2023 and 2022, the Company has no pending preliminary and final tax assessment notice. In addition, the Company has no pending tax case within and outside the administration of the BIR.